

Pursuant to the investigation carried out by the Special Task Force, Uttar Pradesh (“UP STF”), NHAI vide its letter dated January 25, 2025, issued a show cause notice to our Company, seeking its response as to why our Company should not be debarred from undertaking toll user fee collection operations for NHAI for a period of one year (“**First SCN**”). The First SCN alleged involvement of our Company in fraudulent practices such as use of parallel software to circumvent the software installed by NHAI for toll user fee collection at Paschim Madati, Toll Plaza, West Bengal (“**Fraudulent Practices**”), resulting in the embezzlement in toll fees. Further, NHAI had also cited a breach of Clause 21, pertaining to operational transparency, of the contract dated January 3, 2024, entered into between the parties, as a ground for invoking the termination of the contract. Our Company vide its letter dated January 29, 2025, replied to the First SCN, denying the allegations made by NHAI. However, NHAI vide order dated March 18, 2025, debarred the Petitioner from participating in future tender processes for a period of two years, terminated the contract agreement for the Paschim Madati, Toll Plaza, and ordered encashment of the performance securities submitted by our Company for the Paschim Madati, Toll Plaza (“**First Debarment Notice**”). Aggrieved by the First Debarment Notice, our Company filed a writ petition bearing number WP (Civil) 3642 of 2024, before High Court of Delhi, seeking quashing of the First Debarment Notice. The Hon’ble High Court of Delhi, vide its order dated March 28, 2025 (“**Final Order**”), set aside the First Debarment Notice. The Final Order was passed with liberty to NHAI to issue fresh show cause notice to the Company. Subsequently, NHAI, vide its letter dated June 23, 2025, issued a fresh show cause notice to the Company seeking its response as to why our Company, its directors, and owners should not be debarred by NHAI from undertaking toll user fee collection operations for NHAI, for a period of one year and why the bank guarantee furnished by the Company should not be encashed, in connection with the alleged Fraudulent Practices in respect of our Company’s user fee collection operations at Paschim Madati, Toll Plaza, West Bengal and Sabli Toll Plaza, Uttar Pradesh (“**Fresh SCN**”). Our Company has submitted its reply to the Fresh SCN on July 07, 2025, denying the allegations in the Fresh SCN. However, NHAI vide letter bearing No. NHAI/CODIV-11036/2/2025-CO Division/E-288410/291 dated July 25, 2025, again debarred our Company for a period of one year (“**Second Debarment Notice**”). Aggrieved by the Second Debarment Notice, Our Company has filed a writ petition before High Court of Delhi seeking setting aside of the Second Debarment Notice. On September 12, 2025, the Delhi High Court issued an order granting an interim stay on the Second Debarment Notice imposed by NHAI. The matter is now listed on July 29, 2026, for further proceedings. For further details of the case please refer to "*Outstanding Litigation and Other Material Developments*" under "*Litigation involving our Company-Litigations against our Company – Actions by statutory or regulatory authorities*" on page 400.

Additionally, there has been one instance wherein one of our employees submitted false completion certificate of Gujarat Gas Limited in a bid for other entity. Our Company was issued a show cause notice, in respect of the same by Gujarat Gas Limited, vide its letter dated October 17, 2024, seeking response from our Company as to why our Company should not be debarred from participating in future tender of Gujarat Gas Limited, on account of submission of false completion certificate on behalf of Gujarat Gas Limited to other entities. Our Company replied to said show cause notice vide its letter dated October 30, 2024. However, Gujarat Gas Limited vide its letter dated February 4, 2025, debarred our Company from participating in any tender issued by Gujarat Gas Limited for a period of one year. However, on the request made by our Company vide its letter dated July 2, 2025, Gujarat Gas Company has revoked the debarment subject to payment of ₹ 2.07 million. The said amount of ₹ 2.07 million has been paid by our Company.

Furthermore, NHAI, issued a notice on October 31, 2025, for termination of the contract agreement dated August 30, 2024 entered into between our Company and NHAI for providing facility services (i.e. manpower), and debarring the Company for a period of one year from participating in the bids/ tenders issued by the NHAI and its implementing agencies with effect from October 31, 2025. Aggrieved by the same, our Company filed a writ petition bearing number 32795/2025 before the Hon’ble Punjab & Haryana High Court challenging the NHAI notice. The Hon’ble High Court, vide its order dated November 21, 2025, quashed the said notice of NHAI with liberty to NHAI to proceed in accordance with law after providing proper opportunity of hearing to our Company. We cannot assure you that NHAI would not initiate fresh proceedings against our Company and such instances will not occur in future. In case any such orders are passed against us, it will impact our business, operations and profitability.

We cannot assure you that such instances will not occur in the future, and we will not be debarred by any clients in future and such penalties will not be imposed against us in future. In case, we are debarred by any entity, it may impact our ability to bid for other projects which will adversely affect our cash flows, financial condition, reputation and results of operations.

2. ***NHAI issued an order dated July 25, 2025 against our Company, debarring our Company from undertaking new projects with NHAI. The said debarment order has been stayed by the Hon'ble High Court of Delhi. Continuance of said debarment order, may impact our business, and capital requirements affecting our ability to use funds from the Offer as per proposed schedule. Additionally, our Company has relied on certain assumptions to assess the impact of the said debarment order on business of our Company. In case these assumptions are found to be inaccurate, our assessment may not be correct, which may lead to rescheduling/delay in utilisation of funds raised from the Offer.***

NHAI vide letter bearing No. NHAI/CODIV-11036/2/2025-CO Division/E-288410/291 dated July 25, 2025, debarred our Company for a period of one year ("Debarment Notice") which has been stayed by Hon'ble High Court of Delhi. For further details please refer to "*Risk Factors- We have been issued debarment notices from our clients, of which we have challenged one debarment notice before the relevant court and on another we have been penalised by the relevant client. There can be no assurance that our actions before the relevant court will be successful in our favour. Further, we cannot assure you that similar orders will not be issued in future. Any such debarment related action may materially and adversely affect our cash flows, financial condition, reputation and results of operations.*" and "*Outstanding Litigation and Other Material Developments*" under "*Litigation involving our Company- Litigations against our Company – Actions by statutory or regulatory authorities*" on page 32 and 400, respectively. There can be no assurance that the said matter will be decided in favor of our Company. As one of the Objects of the Offer is to use the funds raised from the Offer towards working capital requirements. The working capital of our Company is utilised towards security deposit and payment in respect of our toll plaza management business, manpower services and skill development verticals. In case the said order is decided against our Company, our Company would be restricted from participating in new bids for user fee collection projects of NHAI, which in turn may restrict our ability to use funds from Offer for such projects. It will also impact our ability to use the funds as per proposed schedule and our Company may be required to defer the utilisation of funds to coming fiscal and requirements of other business verticals. Any such deferment of utilisation of funds may impact revenue and financials of our Company. Additionally, working capital requirement of our Company have been derived based on certain assumptions by the management of our Company, any variation with such assumptions may also lead to delay in utilisation of funds.

Also our Company has relied on certain assumptions which include to assess the impact of the said debarment order on our business. For further details, regarding assumptions made by our Company, impact of the said debarment order on revenue generated by our Company and expected revenue during upcoming period, see "*Impact of the Debarment Order dated July 25, 2025 issued by NHAI on the business of the Company- Management's Discussion and Analysis of Financial Condition and Results of Operations.*" on page 388. In case the said assumption are found to be inaccurate, it may lead to rescheduling/delay in utilisation of the funds raised from the Offer.

3. ***We have a large workforce deployed across workplaces and client premises, consequently we may be exposed to service-related claims and losses or employee disruptions that could have an adverse effect on our reputation, business, results of operations and financial condition.***

We have a large workforce deployed all across India. As of January 15, 2026, we have employed more than 14,000 personnel of which more than 6,900 were employed in manned private security services, more than 550 were employed in toll plaza management, more than 1,200 were employed in IFM services and more than 4,500 persons in manpower sourcing and payroll. The details of workforce deployed as at January 15, 2026, September 30, 2025, March 31, 2025, March 31, 2024, and March 31, 2023, in our business verticals are as follows:

Vertical	As at				
	January 15, 2026	September 30, 2025	March 31, 2025	March 31, 2024	March 31, 2023
Manned private	6,974	7,384	6,576	5,866	6,105

a. Outstanding criminal litigations

1. Our Company has filed a case under Section 138 of Negotiable Instruments Act, 1881 (“**NI Act**”), in district courts, Gurugram. Our Company provided various manpower services to Giriraj Enterprises & ors. (“**Respondent**”) for consideration of which Respondent presented cheques amounting to ₹ 0.10 million. However, the cheques were returned by the bank with remarks funds insufficient. Aggrieved by same, our Company initiated proceeding under Section 138 of the NI Act. The matter is currently pending.
2. Our Company has filed a case under Section 138 of Negotiable Instruments Act, 1881 (“**NI Act**”), in district courts Gurugram. Our Company provided various manpower services to S.M. Enterprises (“**Respondent**”). Respondent failed to file GST return due to which our Company suffered a loss of ₹ 0.26 million. Our Company sought the said amount from the Respondent, against our request Respondent submitted a cheque for an amount of ₹ 0.18 million. On presentation of cheque, the cheque was returned with remarks ‘refer to drawer’. Aggrieved by same, our Company initiated proceeding under Section 138 of the NI Act. The matter is currently pending.

b. Outstanding material civil litigations

1. On January 09, 2017, our Company (“**Petitioner**”) entered into an agreement with Punjab State Warehousing Corporation & Anr. (“**Respondents**”) for providing security services for watch and ward of stocks lying in the Respondents’ godowns. Subsequently, disputes arose regarding non-payment/withholding of ₹10.78 million by the Respondents. On account of this, the Petitioner initiated proceedings under Section 11 of the Arbitration and Conciliation Act, 1996 seeking appointment of an Arbitrator to adjudicate the dispute. The Respondents’ counsel has sought time to obtain instructions. The matter is presently pending, with the next hearing scheduled on February 02, 2026.
2. On September 26, 2025, our Company (“**Petitioner**”) initiated proceedings before the Hon’ble Central Government Industrial Tribunal cum Labour Court, Rouse Avenue Court, Delhi challenging the order passed by the Regional Provident Fund Commissioner (“**RPFC**”) in the matter titled Innovision Limited vs. EPFO bearing appeal no. D-1/43/2025. The dispute is regarding issues arising out of the EPF proceedings, which are also under consideration in the connected writ. The matter remains active and is presently listed for hearing on May 21, 2026.

Litigation initiated against our Company

a. Outstanding criminal litigations

Nil

b. Actions by statutory or regulatory authorities

1. Pursuant to the investigation carried out by the Special Task Force, Uttar Pradesh (“**UP STF**”), NHAI vide its letter dated January 25, 2025, issued a show cause notice to our Company, seeking its response as to why our Company should not be debarred from undertaking toll user fee collection operations for NHAI for a period of one year (“**First SCN**”). The First SCN alleged involvement of our Company in fraudulent practices such as use of parallel software to circumvent the software installed by NHAI for toll user fee collection at Paschim Madati, Toll Plaza, West Bengal (“**Fraudulent Practices**”), resulting in the embezzlement in toll fees. Further, NHAI had also cited a breach of Clause 21, pertaining to operational transparency, of the contract dated January 3, 2024, entered into between the parties, as a ground for invoking the termination of the contract. Our Company vide its letter dated January 29, 2025, replied to the First SCN, denying the allegations made by NHAI. However, NHAI vide order dated March 18, 2025, debarred the Petitioner from participating in future tender processes for a period of two years, terminated the contract agreement for the Paschim Madati, Toll Plaza, and ordered encashment of the performance securities submitted by our Company for the Paschim Madati, Toll Plaza (“**First Debarment Notice**”). Aggrieved by the First Debarment Notice, our Company filed a writ petition bearing number WP (Civil) 3642 of 2024, before High Court of Delhi, seeking quashing of the First

Debarment Notice. The Hon'ble High Court of Delhi, vide its order dated March 28, 2025 ("**Final Order**"), set aside the First Debarment Notice. The Final Order was passed with liberty to NHAI to issue fresh show cause notice to the Company. Subsequently, NHAI, vide its letter dated June 23, 2025, issued a fresh show cause notice to the Company seeking its response as to why our Company, its directors, and owners should not be debarred by NHAI from undertaking toll user fee collection operations for NHAI, for a period of one year and why the bank guarantee furnished by the Company should not be encashed, in connection with the alleged Fraudulent Practices in respect of our Company's user fee collection operations at Paschim Madati, Toll Plaza, West Bengal and Sabli Toll Plaza, Uttar Pradesh ("**Fresh SCN**"). Our Company has submitted its reply to the Fresh SCN on July 07, 2025, denying the allegations in the Fresh SCN. However, NHAI vide letter bearing No. NHAI/CODIV-11036/2/2025-CO Division/E-288410/291 dated July 25, 2025, again debarred our Company for a period of one year ("**Second Debarment Notice**"). Aggrieved by the Second Debarment Notice, our Company has filed a writ petition before High Court of Delhi seeking setting aside of the Second Debarment Notice on September 12, 2025, the Delhi High Court issued an order granting an interim stay on the Second Debarment Notice imposed by NHAI. The matter is now listed on July 29, 2026, for further proceedings.

2. The RoC issued show cause notice numbered SCN/ADJ/01-2026/DL/03429 dated February 3, 2026, to our Company and concerned officers seeking response of the Company and concerned officers, as to why action should not be taken against the Company and concerned officers under Section 172 of the Companies Act, 2013. Our Company along with other parties have filed an application seeking extension of time for filing of reply. For details, see "*Outstanding Litigation and Other Material Developments- 1. Compounding Applications filed by the Company.*"
3. The RoC has issued show cause notice numbered SCN/ADJ/01-2026/DL/03427 dated February 3, 2026, to our Company and concerned officers seeking response of the Company as to why action should not be taken against the Company under Section 204(4) of the Companies Act, 2013. Our Company along with other parties have filed an application seeking extension of time for filing of reply. For details, see "*Outstanding Litigation and Other Material Developments- 2. Compounding Applications filed by the Company.*"

c. Outstanding material civil litigations

1. Dilawer Singh and others ("**Petitioners**") have filed a civil writ petition before the High Court of Punjab and Haryana ("**Hon'ble Court**") against the State of Punjab, Department of Social Security Women and Child Development Punjab ("**Respondent No. 1**"), the Director of the same department ("**Respondent No. 2**"), and our Company ("**Respondent No. 3**"). The Petitioners were engaged as contractual drivers by Respondent No. 1. On January 15, 2024, Respondent No. 1 issued an order terminating the services of the Petitioners. Subsequently, on January 18, 2024, Respondent No. 3 issued a notice to the Petitioners formally communicating the termination of their services ("**Termination Notice**"). Aggrieved by the Termination Notice, the Petitioners approached the Hon'ble Court, seeking the quashing of the Termination Notice and a direction for their reinstatement of their employment with the Respondent 1. The matter is currently pending.

Labour Disputes

There are 79 labour disputes filed by the erstwhile employees of our Company (the "**Applicants**") under the Industrial Disputes Act, 1947. These cases pertain to delayed or non-payment of wages/salaries by the principal employer to our Company, and consequent delayed or non-payment of wages/salaries to the Applicants. We have not been impleaded as the main respondent in several of such disputes. The matters are currently pending at different stages of adjudication before various forums.

Delayed filings with the Registrar of Companies

There have been delays in filing certain RoC forms for which we have paid additional fees. The details for the same are as below: